

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

COPPERSMITH GLOBAL LOGISTICS INC., *Claimant*

v.

ZIM USA INC., *Respondent*.

DOCKET NO. 1996(I)

Served: December 11, 2023

BEFORE: Theresa DIKE, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION AND SUMMARY OF DECISION

Claimant Coppersmith Global Logistics Inc. (“Coppersmith”) initiated this proceeding by filing a Claim against ZIM USA Inc. (“ZIM”) at the Federal Maritime Commission (“FMC” or “Commission”) alleging that ZIM violated 46 U.S.C. § 41102(c) of the Shipping Act and the Commission’s Regulations at 46 C.F.R. § 545.4 by collecting a double payment for the same demurrage charge from Coppersmith and failing to refund the overpayment. Claimant asks for reparations in the amount of \$8,095, which it alleges ZIM owes it for the overpayment.²

A. Background and Procedural History

Coppersmith, a customs brokerage and freight forwarding company, received notice from its Chicago branch office that ZIM was withholding release of its client’s shipment against a \$48,718 past due balance owed by Coppersmith. Included in the balance was a demurrage charge of \$8,095 assessed against shipments belonging to Coppersmith’s client, Janel Group LLC (“Janel”). Coppersmith states that Janel had not previously received notice of the demurrage charges, and that once notified of the charges it immediately paid the charge. In the interim, because Coppersmith wanted to secure prompt release of its client’s cargo, it paid ZIM the \$48,718 invoice charges, intending to later dispute the charges and request a refund where appropriate. When, according to Coppersmith, ZIM never refunded the \$8,095 which it had twice been paid, despite acknowledging receipt of Janel’s payment, and after repeated requests

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

² As discussed *infra*, in a later filing, Claimant stated that ZIM agreed to also refund it for other overpayments, bringing the total owed to \$19,915, but Claimant did not ask to amend its request for reparations to that amount, rather than the \$8,095 it requested in its Claim.

from Coppersmith for a refund, Coppersmith filed this Complaint with the Federal Maritime Commission (“FMC” or “Commission”), seeking reparations for the double payment. Coppersmith alleges that ZIM’s failure to refund the double payment constitutes a violation of section 41102(c).

On August 3, 2023, the Commission issued a Notice of Filing of Small Claims Complaint and Assignment (“Notice”), instructing ZIM to file a response to the Claim by August 28, 2023, and to indicate whether it consented to the use of the Commission’s informal procedures at Subpart S for adjudication of the complaint. The Commission also assigned this proceeding to the Chief Administrative Law Judge (“Chief ALJ”) to designate a small claims officer (“SCO”) to adjudicate the proceeding. On August 28, 2023, ZIM filed a response to the complaint and consented to the use of the informal procedures. On August 30, 2023, the Chief ALJ assigned this proceeding to the undersigned for adjudication.

Pursuant to 46 C.F.R. § 502.301(a) and (e) of the Commission’s Rules, which authorize the SCO in a Subpart S proceeding to request, if deemed necessary, additional documents or information from the parties, on September 6, 2023, an Order to Submit Discovery Requests (“Order”) was issued directing the parties to submit any discovery requests that would aid them in establishing their claims and defenses, and upon review, the SCO would incorporate any of their requests deemed appropriate and relevant to the SCO’s forthcoming request for additional information. No party submitted a request. On October 10, 2023, a Request for Additional Documents and Information (“Request”) was issued, directing the parties to provide certain information and documents by October 24, 2023, and permitting any party wishing to file a response to the opposing party’s submission to do so by October 31, 2023. On October 23, 2023, Coppersmith submitted answers to the Request (“C. Supp. Info”), while ZIM submitted its response on October 24, 2023. (“R. Supp. Info”). Neither party submitted a reply to the other’s response. The record is now complete.

As discussed in greater detail below, Claimant Coppersmith fails to demonstrate that all elements required to find a violation of section 41102(c) and recover reparations under section 545.4 are present in this case as Respondent is not a regulated entity. Nevertheless, in its Verified Answer Respondent ZIM commits to refund the \$8,095 overpayment to Coppersmith and asserts that it has refunded the amount due.

B. Argument of the Parties

1. Coppersmith’s Arguments

Coppersmith states that it paid ZIM’s past due invoice, including the \$8,095 assessed against Janel’s shipments, to obtain immediate release of its withheld cargo, intending to later review ZIM’s invoice “to verify [its] validity, dispute the charges and request a refund where warranted.” Complaint pg. 1 at ¶ III. Coppersmith states:

Although ZIM USA’s freight cashier acknowledged they had received payment from Janel group, in the amount of \$8095, they never refunded our payment for those invoices despite our repeated requests for them to do so which included a

formal refund request as well. We've even tried to have them offset with ocean freight and that didn't work.

Complaint pg. 2 at ¶ III(B). Coppersmith states that "[t]here was no injury, and no additional funds are required other than what is owed." Complaint pg. 2 at ¶ V.

Coppersmith further asserts that ZIM "agree[d] to pay all charges owed to us which would include not only this refund but others which total 19,915 . . . and still the refund has not been paid." C. Supp. Info. pg. 1 at no. 4. Coppersmith submitted emails containing communications with ZIM, in which ZIM informed Coppersmith that it would issue a refund for the overpayments. Coppersmith maintains that it never received a refund from ZIM and that the alleged conduct by ZIM constitutes a violation of section 41102(c).

2. ZIM's Arguments

ZIM admits that it received duplicate payments from Coppersmith and Janel for the detention charges assessed against Janel's shipments and also admits that it has not refunded the double payment to Coppersmith. Answer pg. 1 at ¶ IV. In addition, ZIM acknowledges that Coppersmith is entitled to a refund from it for the overpayment. Answer pg. 1 at ¶ V. ZIM agrees with Coppersmith's statement that "there was no injury and that no monies in excess of the claimed \$8,095 are owed" and states that "on August 25, 2023, [it] notified Claimant of its intent to refund the monies, subject to completion of routine administrative documentation." Answer pg. 2 at ¶¶ VII – VIII. However, ZIM "denies that Claimant made 'repeated requests for [Respondent] to do so'" or that "Claimant 'made a formal refund request' or 'tried to have them offset with ocean freight.'" Answer pg. 1 at ¶ IV. Further, ZIM denies that it committed any violations of the Shipping Act. Answer pg. 2 at ¶ VI.

ZIM asserts that it "forwarded payment of the claimed amount, \$8,095 by check dated 10/24/2023. Payment was forwarded via UPS, Tracking No. 1Z50V8720191647501." R. Supp. Info pg. 1 at No. 1.

ZIM explains regarding the double payment:

Claimant, Coppersmith Global Logistics, Inc. was not charged twice. Claimant, acting in its capacity as a Non-Vessel Operating Common Carrier, was the Shipper of Record for twelve (12) consignments transported from Laem Chebang, Thailand, and discharged at the port of Houston, Texas, in May, 2021. (*See* Respondents Answer, Exhibit A). Following delivery of the cargoes at the port of Houston, Claimant - or its underlying receiver - interchanged the cargoes out and then returned each to the port of Houston and subsequently received Invoices for accrued Detention, totaling \$8,095.00 (*See* Respondents Answer, Exhibit B; *see also*, Claimant's Complaint, dated July 28, 2023).

A payment of \$23,663.17 was received from Coppersmith, along with remittance instructions, on August 10, 2022. Those instructions extended to payment of the \$8,095 at issue in this matter.

Prior to that time, Respondent received a payment of 8,095.00 from Andre Prostinc that did not include remittance details or payment instructions. As Respondent had no active account under Andre Prostinc's name, the funds were posted to a temporary account to allow us to determine how to apply those funds. On September 16, 2022, Respondent informed Claimant that the \$8,095.00 payment from Andre Prostinc had been located and moved to the Coppersmith account. In that same communication, Claimant was informed that the account was "almost eligible for a refund," indicating that in accordance with ZIM policy, overdue invoice payments would need to be cleared before a refund could be issued; a Statement of Account was attached to that communication (See Attachment B).

R. Supp. Info pgs. 1 - 2 at no. 2. ZIM asserts that it did not issue a refund to Claimant prior to its initiation of this litigation because "Claimant's accounts were not, during the period of September 2022 to July 2023, brought into Terms." R. Supp. Info pg. 2 at no. 3.

II. PERTINENT FACTS ESTABLISHED BY THE RECORD ("PF")

1. Claimant Coppersmith is a customs brokerage and freight forwarding corporation, with its principal place of business in El Segundo, California. Complaint pg. 1 at ¶ I.
2. Respondent ZIM's corporate name is ZIM American Integrated Shipping Services Co. LLC. Answer pg. 1 at ¶ II.
3. ZIM is the General Agent for ZIM Integrated Shipping Services Ltd ("ZIM Israel"), a vessel-operating common carrier ("VOCC") located in Israel. Answer Pg. 1 at ¶ II.
4. ZIM is not an ocean common carrier. Answer Pg. 1 at ¶ II.
5. ZIM Israel, the VOCC that transported the shipments in question, is not a party in this litigation. Complaint pg. 1.
6. Claimant was listed as consignee and notify party on bills of lading issued by ZIM Israel, including for the shipments at issue, shipped from the Port of Laem Chabang, Thailand, to the Port of Houston, Texas. R. Supp. Info pg. 1 at no. 2; Answer Ex. A.
7. When Janel's shipments arrived in Houston, for reasons undisclosed by the parties, they accrued demurrage totaling \$8,095.00. R. Supp. Info pg. 1 at no. 2; Answer Ex. B.
8. On August 8, 2022, Coppersmith was notified by its Chicago branch office that ZIM was withholding one of Coppersmith's VIP customer's shipments against a \$48,718.00 past due balance owed by Coppersmith. Complaint pg. 1 at no. III.
9. The past due invoice included demurrage charges in the amount of \$8,095.00, assessed against shipments belonging to Janel, Coppersmith's customer. Complaint pg. 1 at no. III.

10. On August 8, 2022, Coppersmith notified Janel of the past due demurrage charges and Janel's employee, Andre Prostinc, immediately made payment to ZIM in the amount of \$8,095. Complaint pg. 1 at no. III; R. Supp. Info pg. 1 at no. 2.
11. Andre Prostinc did not indicate that the payment was for the Janel shipments and ZIM had no active account under Andre Prostinc's name. R. Supp. Info pg. 1 at no. 2.
12. On August 10, 2022, Coppersmith made a payment in the amount of \$23,663.17 to ZIM, along with remittance instructions indicating that the payment included the charges on the Janel shipments. R. Supp. Info pg. 1 at no. 2.
13. On September 16, 2022, ZIM notified Coppersmith that it had moved the payment from Andre Prostinc to the Coppersmith account but that, according to "ZIM policy, overdue invoice payments would need to be cleared before a refund could be issued." R. Supp. Info pg. 1 - 2 at no. 2.
14. On August 3, 2023, the Commission notified ZIM that Coppersmith had filed a Claim against it and instructed it to file a response to the Claim by August 28, 2023. Notice at pg. 1.
15. On August 25, 2023, ZIM sent an email to Coppersmith stating in pertinent part:

After review of your account and file, ZIM will issue a refund for the \$8,095 duplicate payment on your account. To begin the processing, please complete the attached forms and return them to me at your earliest convenience.

Coppersmith Supp. Ex. 1 (Email from ZIM employee, Martin Adrienne dated August 25, 2023, 3:00 PM, to Coppersmith and ZIM employees).

16. On August 25, 2023, Coppersmith responded, stating in pertinent part:

I already did 2 requests for the amounts owed as they're from different customers. See attached emails to James and Cameron which went unanswered. We also have a dispute that has yet to be resolved. See below; DLAX1670099996 - \$2500 ZIMULIS70008574 - ZIMU2896596 100022437. This was for demurrage and the gate ticket was sent to ZIM disputes with our claim showing we picked up the container on time. So along with the attached emails you owe us a total of \$19,915. There is about \$3000 more outstanding but it's been so long that I have to go back into my emails to find it.

Coppersmith Supp. Ex. 1 (Email from Coppersmith dated August 25, 2023, 3:42 PM, to Coppersmith and ZIM employees).

17. On August 31, 2023, ZIM responded:

I am initiating the refund payment process for \$19,915. ZIM issues all payments via ACH and therefore I need your banking information. Please complete the attached forms for us to set your account up for payments.

Coppersmith Supp. Ex. 2 (Email from ZIM employee, Martin Adrienne dated August 31, 2023, 2:20 PM, to Coppersmith and ZIM employees).

18. Coppersmith completed the required forms but had not yet received a refund at the time it submitted its response to the Request for information issued to the parties on October 23, 2023, as part of the proceeding. C. Supp. Info pg. 1 at no.1.
19. ZIM states that it “forwarded payment of the claimed amount, \$8,095.00 by check dated 10/24/2023. Payment was forwarded via UPS, Tracking No. 1Z50V8720191647501.” R. Supp. Pg. 1 at no. 1.
20. Official notice is taken of UPS records showing that on October 25, 2023, a package identified as tracking No. 1Z50V8720191647501 was received by someone named “Jackson” at El Segundo, California, the location of Coppersmith’s principal place of business.
https://www.ups.com/track?loc=en_US&Requester=NES&tracknum=1ZA8E5820447658148/trackdetails (accessed on December 8, 2023).

III. DISCUSSION

A. Controlling Authority

ZIM states that it is the General Agent for ZIM Israel, a vessel-operating-common carrier, which transported the shipments at issue. A vessel-operating-common carrier is defined under the Shipping Act as “a person that -- (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (B) processes the documentation or performs related activities incident to those shipments.” 46 U.S.C. § 40102(19).

A “common carrier” is a person that –

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country
....

46 U.S.C. § 40102(7).

Coppersmith alleges that ZIM's failure to refund the double payment gives rise to a violation of section 41102(c) which provides: "A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." 46 U.S.C. § 41102(c).

Pursuant to section 545.4 of the Commission's regulations, in order to establish a successful claim for reparations" under section 41102(c), the claimant must demonstrate that:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

B. Evidence and Burden of Proof

"In all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order." 46 C.F.R. § 502.203. Thus, a claimant alleging a violation of the Shipping Act bears the burden of proving its allegations against the respondent. The term, "burden of proof" is understood to mean "the burden of persuasion." *Director v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). The party bearing the burden of persuasion must prove its case by a preponderance of the evidence. *See Steadman v. SEC*, 450 U.S. 91, 102 (1981). When the party with the burden of persuasion produces sufficient evidence (characterized as a prima facie case), the burden of production shifts to the other party to produce evidence rebutting that case. *In re South Carolina State Ports Auth. for Declaratory Order*, 27 S.R.R. 1137, 1161 (FMC 1997). *See also Steadman*, 450 U.S. at 101 ("Where a party having the burden of proceeding has come forward with a prima facie or substantial case, he will prevail unless his evidence is discredited or rebutted."). When direct evidence is unavailable, inferences may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp v. General Foundries, Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993) adopted in relevant part, 26 S.R.R. 1424, 1994 WL 279898 (FMC June 13, 1994). If the evidence produced by both parties is evenly balanced, the party with the burden of persuasion will not prevail. *Greenwich Collieries*, 512 U.S. at 281.

C. Coppersmith Fails to Demonstrate that ZIM Violated Section 41102(c)

Coppersmith does not dispute that it owed demurrage charges in the amount of \$8,095, to ZIM on behalf of its customer, Janel. Similarly, ZIM does not dispute that it received an overpayment from Coppersmith in the amount of \$8,095, for the demurrage charges and that Coppersmith is entitled to a refund from ZIM for the overpayment. Answer pgs. 1-2 at IV-VIII. Nevertheless, Coppersmith's section 41102(c) claim fails because it does not satisfy the threshold requirements to establish a violation of section 41102(c) and recover reparations under section 545.4.

To succeed in a claim for reparations under section 41102(c), the claimant must show that:

- 1) the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- 2) the alleged illegal conduct is "occurring on a normal, customary, and continuous basis;"
- 3) the alleged practice or regulation relates to or is connected with receiving, handling, storing or delivering property;
- 4) the alleged practice or regulation is unjust or unreasonable; and,
- 5) the alleged practice or regulation in question is the proximate cause of the loss the claimant alleges it suffered.

See 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.4. To prevail, all five elements must be proven.

Respondent ZIM is not an ocean common carrier, marine terminal operator, or ocean transportation intermediary, the first element required under section 545.4 to file a successful claim. ZIM denies that it is an ocean common carrier and asserts that rather, it is "the General Agent" for ZIM Israel, the ocean common carrier that transported the shipments at issue. Answer Pg. 1 at ¶ II; PFs 3 and 4. Coppersmith did not dispute ZIM's denial, and the evidence of record does not contradict ZIM's defense.

The Commission has found that an agent for a VOCC can be subjected to FMC jurisdiction if it is named as a respondent in an FMC proceeding along with its principal VOCC. *TCW, Inc. v. Evergreen Shipping Agency (AM.) Corp.*, FMC Docket No. 1966(I), 2022 WL 18068977 at *1 (FMC Dec. 29, 2022). However, ZIM Israel, the VOCC principal, is not named as a party in this proceeding. Complaint pg. 1, PF 5. Accordingly, Coppersmith fails to satisfy the first element under section 545.5. Because all five elements under section 545.4 must be demonstrated to prevail in a section 41102(c) claim and Coppersmith fails to demonstrate the first element, it is not necessary to determine whether the other elements are satisfied in this case.

Moreover, ZIM represents that it sent a refund check to Coppersmith for \$8,095.00, the amount Coppersmith requested as reparations. R. Supp. Pg. 1 at no. 1; PF 19. Curiously, the parties did not seek to dismiss this proceeding prior to the issuance of this Initial Decision, which is what would normally be expected to happen when a respondent makes a complainant whole by paying its claimed damages. While ZIM did not provide a copy of its refund check as evidence, the tracking number it sent as proof of the refund indicates that a package was

delivered to the location of Coppersmith's principal place of business (PF 20) at El Segundo, California, and Coppersmith did not dispute ZIM's contention that it has now refunded the double payment to Coppersmith.

Accordingly, Coppersmith's section 41102(c) claim is dismissed. While it only requested reparations in the amount of \$8,095 in its Claim, Coppersmith indicates that the actual refund amount owed to it by ZIM is \$19,915, and the evidence shows that ZIM committed to refund that amount to Coppersmith. PF17. If it has not yet done so, ZIM is urged to refund the full amount owed to Coppersmith to avoid further litigation on this issue.

IV. CONCLUSION

Claimant Coppersmith fails to demonstrate that Respondent ZIM violated section 41102(c), as alleged. Accordingly, it is hereby **ORDERED** that Coppersmith's request for reparations be **DENIED** and its complaint be **DISMISSED WITH PREJUDICE**.

THERESA DIKE Digitally signed by THERESA DIKE
Date: 2023.12.11 13:58:11 -05'00'

Theresa Dike
Small Claims Officer